Procurement and Purchase Approval Policy

Organization: Meridian Technologies

Document ID: FIN-003

Version: 1.0

Department: Finance

Team: Procurement

Effective Date: March 1, 2026

Last Updated: October 10, 2026

1. Purpose

This policy defines the procurement process for purchasing equipment, software, infrastructure resources and external services at Meridian Technologies.

The Procurement team manages purchase requests, vendor quotations, purchase approvals and procurement records.

2. Purchase Request Initiation

Departments must submit purchase requests through the internal procurement portal.

Each request must include:

- Requesting department and team.
- Description of the required product or service.
- Business justification.
- Estimated cost.
- Required delivery date.
- Proposed vendor, if applicable.
- Budget allocation reference.

The requesting department head must validate the business requirement before forwarding the request to Procurement.

3. Approval Thresholds

The following approval limits apply:

Purchase Value	Required Approval

Up to ₹10,000	Department Head
₹10,001–₹50,000	Department Head and Finance Manager
₹50,001–₹2,00,000	Finance Manager and Procurement Manager
Above ₹2,00,000	Finance Director and authorized executive approver

Purchases must not be divided into smaller transactions to bypass approval thresholds.

4. Vendor Selection

The Procurement team evaluates vendors based on:

- Product or service quality.
- Total quoted cost.
- Delivery commitments.
- Previous vendor performance.
- Contractual terms.
- Support and maintenance availability.

For purchases exceeding ₹50,000, at least three vendor quotations should normally be obtained.

An exception may be permitted when only one suitable supplier exists. The reason must be documented and approved.

5. Purchase Order Process

After approval, Procurement generates a purchase order containing:

- Purchase order number.
- Vendor information.
- Product or service description.
- Approved quantity.
- Unit price and total amount.
- Delivery terms.
- Payment terms.
- Authorized approver.

Vendors must receive an approved purchase order before fulfilling the order, except for documented emergency purchases.

6. Invoice Verification

After delivery, the requesting department confirms that the purchased goods or services meet the agreed requirements.

Accounts verifies the vendor invoice against the purchase order and delivery confirmation.

Any mismatch in quantity, price or contractual terms must be resolved before payment processing.

7. Emergency Procurement

Emergency purchases may be initiated when an unexpected requirement threatens critical business operations.

The requesting department must document the reason, estimated expenditure and urgency.

Retrospective approval must be obtained within two working days after the emergency purchase.

8. Vendor Conflicts of Interest

Employees involved in procurement must disclose personal or financial relationships with proposed vendors.

An employee with a potential conflict must not independently approve the affected purchase.

9. Procurement Records

The Procurement team maintains purchase requests, quotations, approvals, purchase orders and vendor communications.

These records support financial audits and expenditure verification.

10. Related Documents

- FIN-001: Quarterly Financial Planning and Expense Report
- FIN-002: Employee Expense Reimbursement Policy
- FIN-004: Annual Department Budget Allocation
- OPS-002: Vendor Management Framework

11. Version History

Version	Date	Description
1.0	2026-03-01	Initial procurement policy

Document Owner: Procurement Manager